

RECENT TRENDS IN INDIA'S FINISHED STEEL CONSUMPTION



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With the impact of the global recession fading out slowly, today, the Indian steel industry, operating in a global framework, has reached a heightened degree of maturity and the current steel scene, reflected in a once-again-buoyant performance, speaks volumes of the inherent stability of the domestic market:

Total Finished Steel (alloy + non-alloy)	Indian steel scene: April-March (Prov.)'09-'10*	
	Qty (million tonnes)	% change
Production for sale	59.58	4.22
Import	7.18	23
Export	3.16	-29
Consumption	56.32	7.8

Source: JPC

The driving force behind domestic steel consumption essentially – and critically – lies in the growth in economic fundamentals of the country (reflected typically in GDP) and sustained growth of the end-use segments.

Thus, while globally (excluding China), steel consumption took a severe beating during the global meltdown with an estimated 17% decline in 2009, Indian total finished steel consumption during April-December 2009-10, as per provisional data released by Joint Plant Committee (JPC), recorded a strong 7.8% growth, helped to quite an extent by economic rejuvenation, as confirmed by a host of macroeconomic statistics, viz the GDP, the IIP and the Infrastructure Index.

JPC, is the only institution in the country today, which is officially empowered to collect data on the Indian steel industry, resulting in the creation and maintenance of the only basic and non-partisan databank on this industry – lending support to not only to understand the steel industry but also provide data for computation of key economic parameters (IIP, GDP, WPI etc) and for policy decisions at the government level. Through its database maintenance and related activities, a series of regular publications featuring data & analysis, JPC, an ISO 9001:2008 organization, is actively pursuing its role as a facilitator to the Indian steel industry.

Based on JPC data, the growth pattern of domestic total finished steel consumption in recent past is shown below and indicates the:

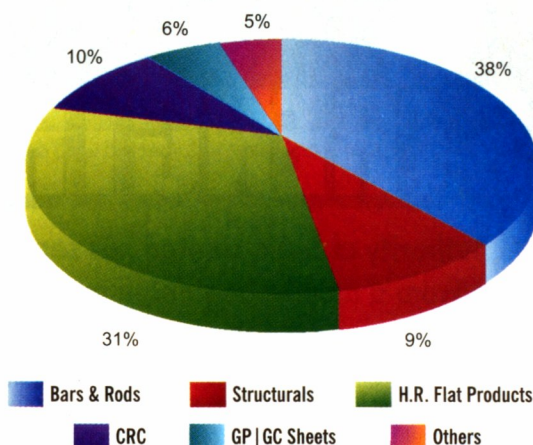
- impact of slowdown during 2008-09 with consumption rising by 0.4%
- predominance of non-flat steel in total consumption, whose share is on the rise over the years, propelled by the mega infrastructure development projects, at different stages of implementation
- predominance of non-alloy steel vis-à-vis alloy steel (including stainless steel) in total steel consumption

d) sign of recovery that the 7.8% steel consumption growth as recorded for April – March of current year conveys, buoyed by a 7.9% GDP growth during Q2 and a 7.6% growth in IIP during Q3 of current year.

A look at the consumption basket for finished non-alloy steel during the current year reveals the following features of steel consumption in today's context:

- For non-alloy steel, contribution of the non-flat segment stood at 21.179 mt, a 8% growth and that of the flat segment (after accounting for double counting) stood at 22.158 mt, a 9.3% rise, taking total non-alloy consumption to 38.387 mt, a growth of 8%
- In the non-alloy, non-flat segment, major contributors to consumption were bars & rods while in the flat segment, HR coils/skelp/sheets, CR, GP/GC were the key contributors.
- Alloy (including stainless steel) consumption was 2.61 mt, a growth of 3.7%, taking total finished steel consumption to 40.997 mt, a growth of 7.8%

% Share of Different Items in Total Non-Alloy Steel
Consumption: April-March 2009-10



Looking Ahead

While economic growth and trends therein would be an important determinant of steel consumption, there are two key issues that need to be addressed with further development of industry.

Firstly, the one issue of immense concern is the 'low' level of per capita domestic steel consumption, estimated to be around 47 kg compared to world average of 190 kg.

The second being the enhancement of steel consumption potential of the Indian rural market. Despite stability and strength in growth in recent times, the growth in the demand of the rural component, is yet to gather momentum.

However, the silver lining in this regard is the study being conducted by JPC, under the aegis of Ministry of Steel on the Indian rural market covering all the 35 state-union territories of the country, with the objective to assess trends in consumption pattern of different items of steel in the Indian rural market, by examining both the demand side and the supply side and forecasts for future consumption pattern.

